Sample Company
Income Statement (Service)
For the Year Ended September 30, 2021

Service revenue		$2,750
Operating Expenses:		
Depreciation expense	100	
Wages expenses	1,200	
Supplies expenses	60	
Total operating expenses		1,360
Operating Income		1,390
Other Item:		
Interest expense	40	
Pretax income		1,350
Income tax expense	405	
Net income		$945

Sample Company
Statement of Retained Earnings
For the Year Ended September 30, 2021

	Retained Earnings
Balance, October 1, 2020	$ 820
Net income	945
Dividends declared	(500)
Balance, September 30, 2021	$1,265

Sample Company
Income Statement (Product)
For the Year Ended September 30, 2021

Sales revenue		$6,875
Cost of Goods Sold		(4,125)
Gross Profit		$2,750
Operating Expenses:		
Depreciation expense	100	
Wages expenses	1,200	
Supplies expenses	60	
Total operating expenses		1,360
Operating Income		1,390
Other Item:		
Interest expense	40	
Pretax income		1,350
Income tax expense	405	
Net income		$945

Sample Company
Statement of Retained Earnings
For the Year Ended September 30, 2021

	Retained Earnings
Balance, October 1, 2020	$ 820
Net income	945
Dividends declared	(500)
Balance, September 30, 2021	$1,265

Sample Company
Balance Sheet
September 30, 2021

Assets		***Liabilities and Stockholders' Equity***	
Current Assets:		Current Liabilities:	
Cash	$ 1,550	Accounts payable	$60
Accounts receivable	770	Interest payable	80
Supplies	40	Wages payable	100
Total current assets	2,360	Income taxes payable	405
		Utilities payable	250
		Total Current Liabilities	895
Equipment	12,000	Long-term Notes Payable	8,000
Less: Accumulated deprec.	(1,300)		
	10,700	Owners' Equity:	
		Owners' capital	2,900
		Retained earnings	1,265
		Total equity	4,165
Total assets	**$13,060**	**Total liabilities and owners' equity**	**$13,060**